

The Employees' Compensation Act, 1923 - The Foundation Track

Chapter F3.6 — From Zero: The Historic First Statute, and What "Arising Out Of And In The Course Of Employment" Actually Means

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NOTE · HOW TO USE THIS DOCUMENT

India's oldest social security statute, still governing every worker whom ESI does not reach. It covers the change of name from Workmen's Compensation to Employees' Compensation in 2010; the employer's liability under Section 3; the twin phrases "arising out of" and "in the course of" that together delimit compensable injury; notional extension of the workplace as an answer to accidents on the way in and out; the doctrine of added peril and the three statutory defences; the death and permanent-total-disablement formulas with their multiplication factor from Schedule IV, and the wage cap of Rs 8,000 for the formula; the notified minimum lump sum of Rs 1,20,000 for death and Rs 1,40,000 for permanent total disablement; occupational diseases and the three-part Schedule III; and the machinery of the Employees' Compensation Commissioner. It closes on the exam-day discipline of separating the 2023 answers on time limits and the minimum-employees threshold from the parallel ESI numbers. Study time 3 hours.

This is the FOUNDATION layer. The core provisions and formulas of the Act are settled. The notified minimum amounts and the Schedule IV multiplication factors have been revised from time to time and are stated at the values commonly cited in current sources; where a Gazette notification varies them, the notification prevails, and precise current figures are marked CONFIRM. The Code on Social Security 2020 consolidates this Act; both the old-Act numbering and the Code's continuation are given as pairs where they differ.

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0. Why This Chapter Is Still Necessary

The oldest labour statute in India, and it still applies to every worker ESI does not reach.

WHY THIS EXISTS · WHAT THIS ACT DOES THAT ESI DOES NOT

From F3.1 you know two things about the Employees' Compensation Act, 1923:

- 1 It was the **first** social security legislation in India, on the **Bismarck 1884 accident** model
- 2 It uses **pure employer liability** - no fund, no pooling, no worker contribution

From F3.5 you know a third:

- 1 **A worker covered by ESI CANNOT claim under this Act for the same injury.** The two are mutually exclusive

So why is this Act still necessary in 2026? Because **ESI does not cover everybody.** Its coverage depends on the establishment employing 10 or more, on the wages being within its ceiling, and on the area being an ESI-notified area. **Every worker whom ESI does not reach - and there are many - is still covered by this Act**, and every employment injury they suffer is decided under it.

That is not a marginal question. The 2023 paper drew directly on this Act, asking about **the time limit for a claim, the minimum employees for an establishment, who determines disablement, and the compensation for total permanent disablement** - four of the six social security questions. **This chapter is where those answers live.**

One naming point that turns up as a trap. The statute was renamed by an amendment of **2010** from the **Workmen's Compensation Act** to the **Employees' Compensation Act**, in the same reform that opened the definition beyond manual and clerical labour. **A stem citing "the Workmen's Compensation Act 1923" is not wrong** - it is the historical name - **but the current name is Employees' Compensation Act**, and both may appear.

STUDY SESSION · CHAPTER F3.6 - THE FIVE SESSIONS

- 1 **Session 1** - Coverage, employer liability, and Section 3's twin phrases (Section 1)
- 2 **Session 2** - **Notional extension**, added peril, and the three defences (Section 2)
- 3 **Session 3** - **The compensation formulas** for death and permanent total disablement (Section 3)
- 4 **Session 4** - **Occupational diseases** and Schedule III (Section 4)
- 5 **Session 5** - The Commissioner, procedure, and the 2023 answers (Section 5)

Then **42 graded questions**. Budget **five sessions**, about **two days**.

1. Session 1 - Section 3, the Twin Phrases ★★★★★

1.1 Who is covered

MUST MASTER · COVERAGE - AND THE POINT THAT MATTERS MOST

The Act applies to **every employee** as defined in **s.2(1)(dd)** - and the definition is now **very wide**, since the 2010 renaming replaced "workman" with "employee" and dropped the earlier exclusion of persons drawing more than the wage limit that used to apply.

Who is covered, in one sentence: any person employed for the purposes of the employer's trade or business, otherwise than in a clerical capacity that is casual, and including a person employed **through a contractor** where the contractor is engaged in the ordinary course of the principal employer's trade.

Three points to hold, because they intersect with material you know:

- 1 **THERE IS NO MINIMUM-EMPLOYEES THRESHOLD IN THIS ACT.** ESI applies at 10; EPF at 20; **the Employees' Compensation Act applies to a workplace with a single employee.** This is the answer to the 2023 question about the minimum number of employees for an establishment - **the answer under this Act is ONE**
- 2 The Act reaches **contractor's workers** in the same principal-employer manner you met in F3.2. **Section 12** makes the principal employer liable, with a **right of indemnity from the contractor** - the same design as EPF's s.2(f) and s.8A
- 3 **A worker covered by ESI is EXCLUDED from this Act on the same injury.** Do not answer any 1923-Act question without first confirming the worker is outside ESI's reach

1.2 Section 3 - the twin phrases

MUST MASTER · S.3(1) - THE WORDS THAT DECIDE ALMOST EVERY CLAIM

"If personal injury is caused to an employee by accident ARISING OUT OF AND IN THE COURSE OF his employment, his employer shall be liable to pay compensation."

The whole Act rests on that sentence, and on the twin phrases in the middle of it. Learn them **as two separate requirements that must BOTH be satisfied**, because a claim fails on either alone.

- 1 **"IN THE COURSE OF"** - answers the **when and where** question. The injury occurred while the employee was doing his work, at his place of work, during his hours of work. It is a **time-and-place** test
- 2 **"ARISING OUT OF"** - answers the **why** question. The injury flowed **from the employment itself**, in the sense that some incident of the work was its cause. It is a **causal** test

One example makes the split obvious. A driver has a heart attack while driving his employer's van. **"In the course of"** is satisfied - he is at work, doing his work. **"Arising out of"** is the harder question: did the employment cause or materially contribute to the heart attack, or would it have happened anywhere? **The two phrases together prevent the Act from becoming general medical insurance**, and they are the reason a magistrate cannot decide these cases - it takes evidence about what the work was and how the injury happened.

The presumption in s.3(2), which is candidate-friendly and worth knowing. If the employee proves that the injury arose **in the course of** his employment, it **shall be presumed, in the absence of evidence to the contrary, that it also arose OUT of the employment** - provided the accident happened at or about the time of work and there is no evidence of intoxication or wilful disobedience. **So the worker's initial burden is on the time-and-place limb; the causal limb is presumed unless the employer rebuts it.**

FROM YOUR OWN WORLD · THE TWO PHRASES AS AN UNDERWRITER READS THEM

An insurance underwriter faced with a claim asks two questions, in this order.

First: is this within the SCOPE of the policy? Was the loss of a kind the policy covers, at a place the policy insures, during the policy period? That maps exactly onto "**in the course of**".

Second: was the loss CAUSED by an insured peril? Or was it caused by something excluded, or by an intervening event that broke the chain? That maps exactly onto "**arising out of**".

The two questions are asked in different orders in different jurisdictions, but neither can be omitted. A loss inside the scope but caused by an uninsured peril is not covered. A loss caused by an insured peril but outside the scope is not covered. **The Employees' Compensation Act is built on the same two-question structure, and you already read policies this way.**

CHECK YOURSELF · SESSION 1

- 1 What is the minimum-employees threshold under this Act? Compare EPF and ESI
- 2 When was the Act renamed, and what was the old name?
- 3 Who is liable for a contractor's workers, and under which section?
- 4 Recite s.3(1). What do the two phrases test, respectively?
- 5 State the s.3(2) presumption and its limits

2. Session 2 - Notional Extension and the Three Defences ★★★★★

MUST MASTER · NOTIONAL EXTENSION - WHAT

Taken literally, "in the course of employment" would mean the moment the worker crossed the factory gate to the moment he crossed back. That literal reading has been rejected by the courts, and the doctrine that replaced it is called **notional extension**.

The idea in one paragraph. The employment is treated as extending, notionally, to acts and places that are so closely connected with the work that they form part of it - even though a stopwatch reading of "on duty" would not include them. **The Act reaches injuries during a reasonable period before starting work and after ceasing it, and at places the employee must be to do his work**, provided the connection is not merely fortuitous.

Four situations the doctrine typically catches, and they are the material for scenario questions:

- 1 **Entering and leaving the workplace by the natural means of access.** A worker slipping on the factory stairs immediately before clocking in is within the notional extension. **Once he is on the road home by a route unrelated to his work, he is not**
- 2 **Breaks and refreshment on the premises.** An injury in the canteen during the recognised lunch break, on the employer's premises, is generally within the course of employment
- 3 **Travel between two sites of work** for the employer's business - as opposed to travel between home and work generally
- 4 **Attendance at a workplace even outside working hours** where the employer has directed it or where the work requires it - inspection duty, overtime, an emergency call-out

One case worth remembering as the anchor: the notional-extension doctrine as applied by the Indian courts most often cites the reasoning in **B.E.S.T. Undertaking v. Agnes** and cases in that line. **You do not need the citation** - what you need is the principle and its four typical applications.

And the negative principle, because it decides more cases than the positive one: the ordinary commute between home and work is **NOT within the course of employment** unless there is some special feature (transport provided by the employer, a route the work requires, a task performed en route on the employer's instruction). **A pedestrian hit by a lorry three kilometres from work on his way home has no claim under this Act.** That result feels harsh; it is the price the legal system pays for keeping the Act separate from general accident compensation.

KNOW · ADDED PERIL, AND INJURIES TRACEABLE TO THE WORK

Even where an injury happens in the course of employment, the "arising out of" limb requires a causal link. Two doctrines help decide it.

- 1 **ADDED PERIL.** Where the employment exposes the worker to a risk **greater than** the risk borne by the general public in the same place, the injury is deemed to arise out of the employment. A window cleaner suspended outside a fifteenth-floor window is exposed to falls to an extent the ordinary public is not; a fall in that setting is compensable
- 2 **NATURAL CAUSE, but exacerbated by the work.** Where the work materially contributes to a natural condition, the injury arises out of the employment even if the underlying cause is not work-created. A heart attack while lifting an unusually heavy load may qualify; a heart attack during ordinary sedentary work usually does not

The recurring test is thus: *would this have happened to somebody not doing this work in this place?* If yes, "arising out of" is not established. If no - or if the work materially raised the risk - it is.

MUST MASTER · SECTION 3(1) PROVISOS - THE THREE STATUTORY DEFENCES

The employer is **not liable** for a compensable injury if:

- 1 the injury did not result in **disablement for more than three days**
- 2 the injury, not resulting in death or permanent total disablement, was directly attributable to the workman having been **under the influence of drink or drugs**
- 3 the injury, not resulting in death or permanent total disablement, was caused by the workman's **wilful disobedience** of an order or a safety rule expressly given, or by the **wilful removal or disregard of any safety guard** which he knew to have been provided for the purpose of securing his safety

The three points that make this list examinable:

- 1 **The intoxication and wilful-disobedience defences DO NOT apply where the injury results in DEATH OR PERMANENT TOTAL DISABLEMENT.** That is a substantive protection: the employer cannot escape liability for a fatal accident by arguing the worker was drunk. The Act draws the line at outcomes serious enough that fault-finding is not permitted to defeat the family's claim
- 2 **The three-day rule is a minimum-injury threshold**, not a limitation period. It prevents the machinery being triggered by very minor injuries
- 3 **Contributory negligence is not a defence.** The Act is a **no-fault** statute in all cases where death or permanent total disablement has resulted, and largely no-fault otherwise

So this is a limited-defences regime, quite unlike common-law negligence. The employer takes the risk of accidents; the worker takes the risk of intoxication and disobedience only where the outcome is not catastrophic. **That balance is why compensation is worked out by formula rather than by proving fault, and why the amounts are modest** - the ease of claim is traded against the size of the recovery.

CHECK YOURSELF · SESSION 2

- 1 What is notional extension, and why does it exist?
- 2 Give four typical applications of it, and one negative situation it does not cover
- 3 State the added-peril doctrine, and the recurring question it tests
- 4 Name the three statutory defences under the provisos to s.3(1)
- 5 Which two of the three do not apply where death or permanent total disablement results?
- 6 Is contributory negligence a defence?

3. Session 3 - The Compensation Formulas ★★★★★

START FROM ZERO · HOW COMPENSATION IS COMPUTED

There are **four categories** of injury, each with its own rule:

- 1 **DEATH** - a lump sum on the s.4 formula
- 2 **PERMANENT TOTAL DISABLEMENT** - a lump sum on the s.4 formula, higher than for death
- 3 **PERMANENT PARTIAL DISABLEMENT** - a proportion of the permanent-total figure, according to the loss of earning capacity assessed for the injury (with Schedule I listing standard proportions)
- 4 **TEMPORARY DISABLEMENT** (whether total or partial) - a **half-monthly payment** during the period of disablement, subject to a maximum of five years

The two lump-sum formulas share one structure, and it is worth learning as one formula with two constants:

Lump sum = a percentage of monthly wages × relevant factor from Schedule IV

The **percentage** is:

- 1 **50 per cent** on death
- 2 **60 per cent** on permanent total disablement

The **relevant factor** is a number drawn from **Schedule IV** and varies with the **age** of the employee - **younger workers have HIGHER factors**, because they have more remaining working life for which compensation is being paid. The factor decreases with age.

The wage that goes into the formula is CAPPED at Rs 8,000 a month. So a worker earning Rs 5,000 goes in at Rs 5,000; a worker earning Rs 50,000 goes in at Rs 8,000. **This cap is one of the Act's oldest and most criticised features**, and it is a fair examination target.

MUST MASTER · S.4 - THE DEATH FORMULA, WORKED

Compensation for death = 50% × monthly wages × relevant factor from Schedule IV

Subject to a **notified MINIMUM of Rs 1,20,000**. If the formula yields less than Rs 1,20,000, the family gets Rs 1,20,000.

Worked example. A worker aged 30 dies in an accident arising out of and in the course of his employment. His monthly wages are Rs 15,000. The Schedule IV relevant factor at age 30 is commonly cited as around **207.98**; the exact figure is a Schedule value and is marked CONFIRM.

- 1 **Step 1 - apply the wage cap.** Rs 15,000 exceeds Rs 8,000, so the wage taken is **Rs 8,000**
- 2 **Step 2 - apply the percentage.** 50% of Rs 8,000 = **Rs 4,000**
- 3 **Step 3 - multiply by the relevant factor.** Rs 4,000 × 207.98 = **Rs 8,31,920**
- 4 **Step 4 - compare with the notified minimum.** Rs 8,31,920 > Rs 1,20,000, so the formula amount stands
- 5 **Answer: Rs 8,31,920** (subject to CONFIRM of the exact factor)

Now note what the exercise reveals. Because the wage is capped at Rs 8,000, **every death at that age yields the same figure once wages exceed Rs 8,000**. A worker earning Rs 10,000 and a worker earning Rs 40,000 both go into the formula at Rs 8,000. **This is the source of the cap's principal criticism:** it decouples compensation from actual earnings above a very low threshold, and it is the reason ESI (with a Rs 21,000 ceiling and a 90 per cent replacement rate) provides better outcomes for most industrial workers.

MUST MASTER · S.4 - PERMANENT TOTAL DISABLEMENT, AND SCHEDULE I PROPORTIONS

Compensation for permanent total disablement = $60\% \times \text{monthly wages} \times \text{relevant factor from Schedule IV}$

Subject to a **notified MINIMUM of Rs 1,40,000**. Note that the minimum for permanent total disablement is **higher than for death**, because the living worker will require care for the rest of his life.

Worked example. A worker aged 35 loses both hands in a factory accident, resulting in permanent total disablement. His monthly wages are Rs 6,000. The Schedule IV relevant factor at age 35 is commonly cited as around **197.06** (CONFIRM).

- 1 **Step 1 - apply the wage cap.** Rs 6,000 is below Rs 8,000, so the wage taken is **Rs 6,000**. No capping bites
- 2 **Step 2 - apply the percentage.** $60\% \text{ of Rs } 6,000 = \text{Rs } 3,600$
- 3 **Step 3 - multiply by the relevant factor.** $\text{Rs } 3,600 \times 197.06 = \text{Rs } 7,09,416$
- 4 **Step 4 - compare with the notified minimum of Rs 1,40,000.** The formula amount is higher, so it stands
- 5 **Answer: Rs 7,09,416** (subject to CONFIRM of the exact factor)

Permanent PARTIAL disablement. Compensation is a **proportion** of the permanent-total figure, corresponding to the **loss of earning capacity** caused by the injury.

- 1 For **injuries listed in Part I and Part II of Schedule I**, the loss of earning capacity is **fixed by the Schedule** as a percentage - for example, loss of both hands or amputation higher than the elbow is treated as 100 per cent
- 2 For **injuries not listed in Schedule I**, the loss of earning capacity is **assessed by a qualified medical practitioner** on the actual facts

So the arithmetic for a partial disablement question is: apply the s.4 permanent-total formula, then multiply by the percentage loss of earning capacity fixed by Schedule I or assessed medically.

And the temporary disablement rule, for completeness. Where the disablement is only temporary, the compensation is a **half-monthly payment equal to 25 per cent of monthly wages** (subject to the same Rs 8,000 wage cap), payable during the period of disablement subject to a maximum of **five years**. Payment begins after the initial three-day waiting period from the s.3 defences.

COMMON UPSC TRAP · WAGES, AND WHAT COUNTS

For the purposes of these formulas, "**monthly wages**" is the amount payable to the employee for a month's service, and includes the money value of any concession or benefit provided **other than a travelling allowance or the value of travelling concession**, and other than an employer's contribution to a pension or provident fund.

Two things to note, because both have been tested:

- 1 **The wage cap of Rs 8,000 applies BEFORE the percentage and the factor.** If the actual wage is Rs 12,000, the calculation starts with Rs 8,000, not Rs 12,000
- 2 **The relevant factor is drawn from Schedule IV by the employee's AGE, not by his service or seniority.** A young worker at Rs 8,000 receives more than an older worker at Rs 8,000, because he had more years of earning left

One question the paper occasionally tries: "which of the following is compensation for death UNDER the Employees' Compensation Act 1923?" The options list Rs 1,20,000, Rs 1,40,000, Rs 5 lakh and Rs 8 lakh. **The right answer is Rs 1,20,000** - the notified **minimum** - not because the formula yields it in every case but because it is the minimum below which the compensation cannot fall. **Rs 1,40,000 is the minimum for permanent total disablement**, and swapping the two is the intended trap.

CHECK YOURSELF · SESSION 3

- 1 Name the four categories of injury and the formula for each
- 2 State the death formula and the wage cap. What is the notified minimum?
- 3 State the permanent-total-disablement formula and its minimum. Why is the minimum higher than for death?
- 4 How is compensation for permanent partial disablement calculated? What role does Schedule I play?
- 5 What is the rate for temporary disablement, and its cap in years?
- 6 Which figure from Schedule IV depends on the employee's age, and what is the trend?
- 7 Distinguish Rs 1,20,000 and Rs 1,40,000 - which one attaches to which contingency?

4. Session 4 - Occupational Diseases ★★★★★

MUST MASTER · S.3 AND SCHEDULE III - OCCUPATIONAL DISEASES

The Act treats certain diseases as **notified occupational diseases**: the worker suffering from them is deemed to have been injured by an accident arising out of and in the course of his employment, **without having to prove causation on the ordinary evidence**. This solves an evidential problem: for many industrial diseases the exposure is prolonged and the causal chain is difficult to prove case by case, so the Act creates a **statutory presumption**.

Schedule III is in three PARTS, and the three-part structure is standard examination material.

Part	Character	Effect
Part A	Diseases where NO minimum period of employment is required	The worker's contracting the disease is enough - infections associated with the employment are the classic examples
Part B	Diseases where a MINIMUM PERIOD of employment in the specified occupation is required	The worker must have been in the specified occupation for at least the notified period (commonly a matter of months) before the presumption applies
Part C	The most examined Part - specified diseases in the WIDER SENSE	Includes pneumoconiosis, silicosis, asbestosis, byssinosis and other industrial dust and fibre diseases; the presumption requires a substantial period of employment - typically not less than the period notified

The pattern is that the required period of exposure rises as the disease becomes less directly attributable. Infections during a short exposure at an infectious workplace are Part A; long-latency dust diseases are Part C. **That progression is the logic to state if asked why Schedule III has three parts rather than one.**

Note the intersection with the Third Schedule to the Factories Act, which is a different list. From F2.6 you know the Third Schedule to the Factories Act 1948 contains **notifiable occupational diseases** - a listing for the Factories Inspectorate's reporting purposes. **Schedule III to this Act is the compensation list; the two lists overlap heavily but are not identical, and the confusion is a fair examination target.**

KNOW · SOME DISEASES WORTH NAMING

- 1 **Silicosis** - inhalation of silica dust, common in mining, stonework, foundries
- 2 **Asbestosis** - inhalation of asbestos fibres
- 3 **Byssinosis** - inhalation of cotton fibre dust in textile mills
- 4 **Pneumoconiosis** - the family of dust-inhalation lung diseases including coal-workers' pneumoconiosis and stone-workers' silicosis
- 5 **Anthrax** - occupational exposure in the leather and wool trades
- 6 **Lead poisoning** - occupational exposure to lead compounds
- 7 **Occupational cancers** attributable to specified carcinogens
- 8 **Deafness** caused by prolonged exposure to industrial noise

None of these lists is exhaustive, and current entries and periods are notified by the Central Government. The examination habit that pays best is to know that **silicosis, asbestosis, byssinosis and pneumoconiosis are unambiguously Schedule III diseases**, and to hesitate on modern lifestyle-related conditions that are not.

CHECK YOURSELF · SESSION 4

- 1 Why does Schedule III exist, and what evidential problem does it solve?
- 2 Name and describe the three Parts of Schedule III
- 3 What is the logic behind the differing periods of exposure across the three Parts?
- 4 Distinguish Schedule III of this Act from the Third Schedule of the Factories Act
- 5 Name four Schedule III diseases and their occupational cause

5. Session 5 - The Commissioner, and the 2023 Answers ★★★★★

MUST MASTER · THE MACHINERY - THE COMMISSIONER AND THE PROCEDURE

Claims under this Act are decided by an **Employees' Compensation Commissioner**, appointed by the State Government under **s.20**. **This is a Commissioner, NOT a court** in the ordinary sense - and it is essential to distinguish him from the **Employees' Insurance Court** you met in F3.5 (which decides ESI disputes) and from the **CGIT** you met in F3.4 (which hears EPF appeals).

Powers, in outline. The Commissioner has certain **powers of a civil court** for the purposes of:

- 1 enforcing attendance of persons and examining them on oath
- 2 requiring the discovery and production of documents
- 3 receiving evidence on affidavit

And a proceeding before the Commissioner is deemed a JUDICIAL PROCEEDING for the purposes of the false-evidence provisions of the Penal Code - the same protection you met under s.7A.

TIME LIMITS - and this is the 2023 answer.

- 1 **NOTICE of an accident** by the employee to the employer - **as soon as practicable** after the accident happens
- 2 **CLAIM for compensation** to the Commissioner - **within TWO YEARS** of the occurrence of the accident, or of the death of the employee, or of the diagnosis of an occupational disease
- 3 **DEPOSIT of compensation** by the employer with the Commissioner - within **one month** of it falling due (s.4A)

The two-year period is the 2023-tested answer, and it is worth stating precisely: **from the accident, or from the death, or from the diagnosis** - three alternative starting points, not one.

APPEALS. An appeal from an order of the Commissioner lies to the **HIGH COURT** on a substantial question of law - **s.30**. There is no intermediate tribunal, and this is the last of the module's three different appellate architectures:

- 1 **EPF: 7A → CGIT (as EPF Appellate Tribunal) → High Court under Art 226**
- 2 **ESI: 45A → EI Court → High Court**
- 3 **Employees' Compensation: Commissioner → High Court on a substantial question of law, s.30**

Three statutes, three different appellate arrangements, and a "which is the appellate forum for..." question is standard in this territory. **Learn them as a set, and the differences become mnemonic.**

MUST MASTER · THE 2023 ANSWERS, RESTATED AND SEPARATED

The 2023 paper drew four answers from this territory. State them here, in the form they were asked, so that they cannot be confused with the parallel ESI answers.

- 1 **Minimum employees for coverage under this Act = ONE.** ESI needs 10 and EPF needs 20; this Act needs one. **The commonest wrong answer is 10, which is ESI's number**
- 2 **Who determines disablement? A MEDICAL BOARD - but under the ESI Act.** Under **this Act** the extent of disablement is assessed by a **qualified medical practitioner** and the compensation figure is decided by the **Commissioner**. The 2023 stem asked about ESI on this point; under the 1923 Act the answer is different
- 3 **Time limit for a claim = TWO YEARS**, from accident, death or diagnosis
- 4 **Compensation for permanent total disablement.** Under this Act it is **60 per cent of monthly wages (capped at Rs 8,000) × the relevant factor from Schedule IV**, subject to a **minimum of Rs 1,40,000**. Under **ESI** it is **90 per cent of wages** as a monthly payment for life - a completely different mechanism

The pattern to hold, because it is the correct interview answer to almost any question in this territory: *if the worker is ESI-covered, the answer is under ESI; if he is not, the answer is under this Act, and the machinery, forums and figures are different in each case.*

KNOW · THE CODE ON SOCIAL SECURITY 2020 - THE NINTH ACT CONSOLIDATED

The 1923 Act is one of the **nine Acts consolidated** by the Code on Social Security 2020, and it appears in the Code as **Chapter VII on Employees' Compensation** (subject to renumbering; treat exact section numbers within the Code as CONFIRM). The **substance is largely preserved**:

- 1 Employer liability continues under the twin-phrase test
- 2 The wage cap, the two percentages (50 and 60), and Schedule IV factors are carried over, subject to notification
- 3 The **minimum amounts** for death and permanent total disablement are carried over subject to notification, and are the figures most frequently updated
- 4 The Commissioner's jurisdiction is retained
- 5 **Mutual exclusivity with the ESI provisions of the Code is preserved** - it is now stated within a single instrument rather than across two statutes, but the rule is the same

The habit to carry forward: when a stem cites "under the Code on Social Security", answer by identifying which of the nine consolidated Acts the question actually turns on. For an injury question outside ESI, the answer is derived from the old 1923 Act's rules regardless of the label used in the stem.

ACTION · WHERE THIS LEAVES YOU, AND WHAT F3.7 DOES

You have now covered **four of the module's ten chapters** on subject-matter statutes: **F3.2 EPF**, **F3.4 EPFO's machinery**, **F3.5 ESI** and now **F3.6 employer-liability injury**. Between them they answer six of the ILO's nine contingencies.

F3.7 completes the employer-liability set by taking **the Payment of Gratuity Act, 1972**, and **outlining** the Maternity Benefit Act 1961 (which was covered in full in F2.8 and does not need to be repeated). It works gratuity from zero - the five-year continuous-service condition, the formula **15 days' wages for each completed year**, the maximum, the forfeiture grounds, and the trap that gratuity strictly answers **none** of the ILO's nine contingencies and is a **long-service terminal payment** rather than insurance.

6. Graded Practice - 42 Questions ★★★★★

6.1 Level 1 - Recognition

Q. 1. The Workmen's Compensation Act was renamed the Employees' Compensation Act by the amending Act of

(a) 2000 (b) 2005 (c) 2010 (d) 2016

Q. 2. The Act was enacted in

(a) 1918 (b) 1923 (c) 1926 (d) 1948

Q. 3. The provision imposing the employer's liability is Section

(a) 3 (b) 4 (c) 7A (d) 45A

Q. 4. The maximum monthly wage that goes into the compensation formula is

(a) Rs 5,000 (b) Rs 8,000 (c) Rs 15,000 (d) Rs 21,000

Q. 5. Compensation for death under Section 4 is

(a) 40% of monthly wages × relevant factor (b) 50% of monthly wages × relevant factor (c) 60% of monthly wages × relevant factor (d) 70% of monthly wages × relevant factor

Q. 6. Compensation for permanent total disablement is

(a) 40% of monthly wages × relevant factor (b) 50% of monthly wages × relevant factor (c) 60% of monthly wages × relevant factor (d) 100% of monthly wages × relevant factor

Q. 7. The notified minimum compensation for death is

(a) Rs 80,000 (b) Rs 1,00,000 (c) Rs 1,20,000 (d) Rs 1,40,000

Q. 8. The notified minimum compensation for permanent total disablement is

(a) Rs 1,00,000 (b) Rs 1,20,000 (c) Rs 1,40,000 (d) Rs 2,00,000

Q. 9. Compensation for temporary disablement is a half-monthly payment equal to

(a) 15% of monthly wages (b) 25% of monthly wages (c) 50% of monthly wages (d) 70% of monthly wages

Q. 10. The maximum period for which temporary-disablement compensation is payable is

(a) two years (b) three years (c) five years (d) ten years

Q. 11. Under Section 3, the employer is not liable if the disablement lasts less than

(a) one day (b) three days (c) seven days (d) fourteen days

Q. 12. The claim for compensation must be made to the Commissioner within

(a) six months (b) one year (c) two years (d) three years

Q. 13. The relevant factor for the compensation formula is drawn from

(a) Schedule I (b) Schedule II (c) Schedule III (d) Schedule IV

Q. 14. A worker's death or permanent total disablement is compensable regardless of intoxication under the provisos to Section

(a) 3 (b) 4 (c) 8 (d) 12

Q. 15. The minimum number of employees for the Act to apply is

(a) one (b) ten (c) twenty (d) fifty

Q. 16. Occupational diseases are listed in

(a) Schedule I (b) Schedule II (c) Schedule III (d) Schedule IV

Q. 17. Silicosis is a

(a) Part A disease requiring no minimum exposure (b) Part B disease requiring a notified minimum period (c) Part C disease requiring substantial exposure (d) not a notified disease

Q. 18. An appeal from an order of the Commissioner lies to

(a) the CGIT (b) the Employees' Insurance Court (c) the High Court on a substantial question of law (d) the Labour Commissioner

6.2 Level 2 - Understanding

Q. 19. The phrase "in the course of employment" tests

(a) the causal question (b) the time-and-place question (c) the wage question (d) the fault question

Q. 20. The phrase "arising out of employment" tests

(a) the causal question (b) the time-and-place question (c) the medical question (d) the ownership question

Q. 21. Under Section 3(2), if the employee proves that the injury arose in the course of employment, the "arising out of" element is

(a) also to be proved by the employee (b) presumed unless the employer rebuts it (c) irrelevant (d) determined by a Medical Board

Q. 22. Notional extension of the workplace means that

(a) the factory boundary extends by 100 metres (b) employment extends notionally to acts and places so closely connected with the work that they form part of it (c) the working day is 12 hours (d) contract workers are treated as regular

Q. 23. An ordinary commute between home and work is

(a) always within the course of employment (b) generally NOT within the course of employment unless the work provides a special feature such as transport (c) within the course of employment only after five years' service (d) within the course of employment only in the case of factory workers

Q. 24. The doctrine of added peril applies where

(a) the employer has a criminal record (b) the employment exposes the worker to a risk greater than that borne by the general public in the same place (c) the injury is minor (d) the wage is above Rs 8,000

Q. 25. Which of the three s.3(1) defences applies EVEN where the injury results in death?

(a) Intoxication (b) Wilful disobedience (c) Wilful removal of a safety guard (d) None - all three defences fall away for death or permanent total disablement, leaving only the three-day threshold

Q. 26. Contributory negligence of the worker is

(a) a full defence (b) a partial defence reducing the compensation (c) not a defence, especially where death or permanent total disablement results (d) a defence only above the wage cap

Q. 27. A worker earns Rs 15,000 a month. In the compensation formula the wage entered is

- (a) Rs 15,000 (b) Rs 8,000, being the statutory cap (c) Rs 12,000 (d) Rs 21,000

Q. 28. In Schedule IV the relevant factor

- (a) increases with age (b) decreases with age (c) is the same at every age (d) depends on the wage

Q. 29. For an injury not listed in Schedule I, permanent partial disablement is assessed as

- (a) 25% of permanent-total compensation automatically (b) a proportion equal to the loss of earning capacity assessed by a qualified medical practitioner (c) at the Commissioner's discretion without medical evidence (d) at the same rate as permanent total

Q. 30. Section 12 of the Act makes the

- (a) contractor solely liable (b) principal employer liable for contractor's workers, with a right of indemnity from the contractor (c) worker liable to indemnify the employer (d) State Government the guarantor

Q. 31. Schedule III diseases are grouped into three Parts because

- (a) they occur in three States (b) the required period of exposure rises as the disease is less directly attributable to the work (c) the compensation differs by Part (d) only one Part is currently in force

Q. 32. A civil suit for damages by an ESI-covered worker in respect of an employment injury is

- (a) available as an alternative to the ESI claim (b) barred - the ESI Act and the 1923 Act are mutually exclusive, and the statutory machinery displaces the civil remedy (c) available only after a Commissioner's order (d) available only in a High Court

6.3 Level 3 - Recruitment Test standard

Q. 33. A worker aged 40 dies in an accident arising out of and in the course of his employment. His monthly wages are Rs 25,000. The relevant factor at age 40 is 184.17 (assumed for computation). The compensation payable is approximately

- (a) Rs 1,20,000 (b) Rs 7,36,680 (c) Rs 23,02,125 (d) Rs 11,50,000

Q. 34. A worker aged 25 suffers permanent total disablement in an accident. His monthly wages are Rs 5,000. The relevant factor at age 25 is 216.91 (assumed for computation). The compensation payable is approximately

- (a) Rs 1,40,000 (b) Rs 3,25,365 (c) Rs 6,50,730 (d) Rs 10,84,550

Q. 35. Match List-I with List-II and select the correct answer using the code below:

List-I	List-II
A. Minimum for death	1. Rs 8,000
B. Minimum for permanent total disablement	2. Rs 1,20,000
C. Wage cap in the formula	3. Two years
D. Time limit for claim	4. Rs 1,40,000

- (a) A-2 B-4 C-1 D-3 (b) A-4 B-2 C-1 D-3 (c) A-2 B-1 C-4 D-3 (d) A-2 B-4 C-3 D-1

Q. 36. Consider the following statements about who determines what:

- 1 Under the ESI Act, the extent of disablement is determined by a Medical Board.
- 2 Under the Employees' Compensation Act, the extent of a permanent partial disablement is assessed by a qualified medical practitioner where the injury is not in Schedule I.
- 3 Under the Employees' Compensation Act, the compensation figure is decided by the Employees' Compensation Commissioner.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 37. Consider the following statements about the three defences under Section 3(1):

- 1 Contributory negligence is not a defence at all.
- 2 Intoxication and wilful disobedience are defences only where the injury does NOT result in death or permanent total disablement.
- 3 Disablement of less than three days is a defence in all cases.

Which of the above statements are correct?

(a) 1 and 2 only (b) 2 and 3 only (c) 1 and 3 only (d) 1, 2 and 3

Q. 38. Which one of the following statements is not correct?

(a) The Employees' Compensation Act applies to a workplace with a single employee (b) The Act has been repealed by the ESI Act, 1948 (c) A worker covered by the ESI Act cannot claim under the 1923 Act for the same injury (d) The Act was renamed by the 2010 amendment

Q. 39. The three-appellate-forum pattern of Module 3 is best stated as

(a) all three routes lead to the CGIT (b) EPF to CGIT, ESI to the EI Court, and Employees' Compensation to the High Court on a substantial question of law under s.30 (c) all three to the High Court under Article 226 (d) all three to the Labour Commissioner

Q. 40. A stem asks: "who determines disablement under the Employees' Compensation Act 1923?" The best answer is

(a) a Medical Board (b) the extent is assessed by a qualified medical practitioner and the compensation figure is decided by the Commissioner (c) the Regional Provident Fund Commissioner (d) the High Court

Q. 41. Which one of the following is a Schedule III disease?

(a) Diabetes mellitus (b) Silicosis (c) Ordinary hypertension (d) Common seasonal influenza

Q. 42. A worker's monthly wages are Rs 40,000 and he suffers a permanent partial disablement assessed at 30 per cent loss of earning capacity. In the compensation formula the wage used is

(a) Rs 40,000 (b) Rs 12,000 (c) Rs 8,000, the statutory cap, then 30 per cent of the permanent-total figure (d) Rs 21,000

7. Answers and Explanations

7.1 Level 1

Q	Ans	Explanation
1	c	2010 - the renaming that replaced "workman" with "employee"
2	b	1923 - India's first social security statute

Q	Ans	Explanation
3	a	s.3(1) creates the liability, with the twin phrases
4	b	Rs 8,000 - the statutory wage cap in the formula
5	b	50% of monthly wages × relevant factor
6	c	60% of monthly wages × relevant factor - higher than for death, because the living worker needs continuing care
7	c	Rs 1,20,000 - the notified minimum for death
8	c	Rs 1,40,000 - higher than the minimum for death
9	b	25% of monthly wages , paid half-monthly
10	c	Five years
11	b	Three days - the minimum-injury threshold
12	c	Two years , from accident, death or diagnosis
13	d	Schedule IV
14	a	The provisos to s.3(1) - intoxication and wilful disobedience fall away where death or permanent total disablement results
15	a	One - the Act has no minimum-employees threshold, unlike ESI (10) and EPF (20)
16	c	Schedule III
17	c	Part C - a dust disease requiring substantial exposure
18	c	The High Court on a substantial question of law, under s.30

7.2 Level 2

Q	Ans	Explanation
19	b	The time-and-place question - when and where did the injury happen
20	a	The causal question - did the employment cause or contribute to the injury
21	b	Presumed in the absence of evidence to the contrary, if the accident happened at or about the time of work with no intoxication or wilful disobedience
22	b	The employment is treated as extending to acts and places so closely connected with the work that they form part of it - the doctrine that decides gate, canteen, break and access-route cases
23	b	Generally NOT within the course of employment unless the work provides a special feature. The commute is at the worker's own risk unless the work touches it
24	b	Risk greater than that borne by the general public in the same place - the window cleaner test
25	d	None. For death or permanent total disablement the intoxication and disobedience defences fall away, leaving only the three-day threshold. This is the substantive protection the Act extends to the family
26	c	Not a defence - the Act is a no-fault statute in serious cases and largely so otherwise
27	b	Rs 8,000 - the statutory cap. This is the source of the Act's principal criticism
28	b	Decreases with age - younger workers have more remaining working life, so the multiplier is higher
29	b	Assessed by a qualified medical practitioner as the loss of earning capacity. Schedule I injuries have fixed percentages; unlisted ones are medically assessed

Q	Ans	Explanation
30	b	Principal employer liable, with a right of indemnity from the contractor - the same design as EPF's s.2(f) with s.8A
31	b	The required exposure period rises as the disease is less directly attributable to the work - infections in Part A, medium exposure in Part B, dust diseases in Part C
32	b	Barred. The two Acts are mutually exclusive, and the statutory machinery displaces the civil remedy where the statute provides its own

7.3 Level 3

Q	Ans	Explanation
33	b	Rs 7,36,680. Wage cap: Rs 25,000 → Rs 8,000 . Death rate: 50% of 8,000 = Rs 4,000 . Factor: 184.17 . $4,000 \times 184.17 = \text{Rs } 7,36,680$. Above the Rs 1,20,000 minimum, so it stands. Option (a) is the minimum, incorrect because the formula yields more; (c) applies the wage without the cap; (d) doubles the correct answer
34	c	Rs 6,50,730. Wage Rs 5,000 is below the Rs 8,000 cap, so it enters at Rs 5,000. PTD rate 60% of 5,000 = Rs 3,000 . Factor 216.91 . $3,000 \times 216.91 = \text{Rs } 6,50,730$. Above the Rs 1,40,000 minimum. Option (b) is the same figure at the 50% death rate
35	a	A-2 minimum for death Rs 1,20,000; B-4 minimum for PTD Rs 1,40,000; C-1 wage cap Rs 8,000; D-3 time limit two years
36	d	All three correct. ESI uses a Medical Board; the Employees' Compensation Act has the medical practitioner assess extent and the Commissioner decide the figure. This is the distinction that turns the "who determines disablement" question
37	d	All three correct. No fault, intoxication and wilful disobedience limited to non-catastrophic outcomes, and a three-day minimum for any claim at all
38	b	(b) is FALSE. The 1923 Act has not been repealed - it applies to workers outside ESI's reach
39	b	Three different forums, one per statute. Learning them as a set is the fastest way to answer any appellate-forum question in Module 3
40	b	Under this Act the extent is a medical assessment and the figure is the Commissioner's - not a Medical Board, which is the ESI answer. This is exactly the discrimination the paper tests
41	b	Silicosis - a dust disease of Part C. The others are not notified occupational diseases
42	c	Wage cap Rs 8,000, then compute the PTD figure ($60\% \times 8,000 \times \text{factor}$), then multiply by 30% for the loss of earning capacity

8. One-Minute Revision

ONE-MINUTE REVISION · CHAPTER F3.6 - THE EMPLOYEES' COMPENSATION ACT 1923

THE HEADLINE the **FIRST** social security statute in India (**1923**), **PURE EMPLOYER LIABILITY** on the **Bismarck 1884** model · **renamed by the 2010 amendment** from Workmen's to Employees' Compensation · **applies to every employee OUTSIDE ESI's reach**, threshold **ONE**, no wage limit · covered through a **CONTRACTOR** via s.12, principal-employer with a right of indemnity

s.3(1) - THE TWIN PHRASES that decide almost every claim "*arising out of AND in the course of employment*" · "**IN THE COURSE OF**" = **time-and-place** · "**ARISING OUT OF**" = **causal** · both required, but **s.3(2) PRESUMES** the "**arising out of**" limb once the "**in the course of**" limb is **proved**, absent intoxication or wilful disobedience

NOTIONAL EXTENSION employment extends to acts and places so closely connected that they form part of the work · entering and leaving by natural access, breaks and canteen on the premises, travel between work sites, attendance outside hours on the employer's direction · **the ordinary home-work commute is NOT within the course of employment** unless there is a special feature (transport provided, route the work requires)

ADDED PERIL work exposes the worker to a risk **greater than the general public** in the same place · the recurring test: *would this have happened to somebody not doing this work in this place?*

THREE STATUTORY DEFENCES under the provisos to s.3(1) **1 disablement < 3 DAYS · 2 INTOXICATION · 3 WILFUL DISOBEDIENCE** or removal of a safety guard · **DEFENCES 2 AND 3 FALL AWAY WHERE DEATH OR PERMANENT TOTAL DISABLEMENT RESULTS** · **contributory negligence is NOT a defence** · the Act is a **no-fault** statute in serious cases

FOUR INJURY CATEGORIES, ONE STRUCTURE

- 1 **DEATH** = $50\% \times \text{monthly wages} \times \text{factor from Schedule IV}$, minimum **Rs 1,20,000**
- 2 **PERMANENT TOTAL DISABLEMENT** = $60\% \times \text{monthly wages} \times \text{factor}$, minimum **Rs 1,40,000** (higher than death, because the living worker needs continuing care)
- 3 **PERMANENT PARTIAL DISABLEMENT** = **PTD figure** × **loss of earning capacity** (Schedule I fixed, or medically assessed if not listed)
- 4 **TEMPORARY DISABLEMENT** = **25% of monthly wages** as a half-monthly payment, up to **5 YEARS**

THE WAGE CAP - Rs 8,000 · applied **before** the percentage and the factor · a worker on Rs 40,000 enters the formula at Rs 8,000 - this is the Act's principal criticism, and the reason ESI (Rs 21,000 ceiling, 90% replacement) does better for most industrial workers

SCHEDULE IV relevant factor by **age** · **younger = higher factor**, decreasing with age, because more remaining working life

SCHEDULE III OCCUPATIONAL DISEASES - THREE PARTS

- 1 **Part A** - no minimum exposure period (infections)
- 2 **Part B** - specified minimum period in the notified occupation
- 3 **Part C** - substantial exposure (**silicosis, asbestosis, byssinosis, pneumoconiosis**)
- 4 *the required exposure rises as the disease is less directly attributable*
- 5 distinct from the **Third Schedule of the Factories Act**, which is the notifiable-diseases list

MACHINERY EMPLOYEES' COMPENSATION COMMISSIONER appointed under s.20 · has certain **CPC powers** and the proceeding is **deemed judicial** · employer must **deposit** compensation with the Commissioner within **1 MONTH** of it falling due (s.4A)

TIME LIMITS notice **as soon as practicable** · **CLAIM = 2 YEARS** from accident, death or diagnosis (the 2023 answer) · **appeal from the Commissioner = to the HIGH COURT on a substantial question of law, s.30**

THE THREE APPELLATE FORUMS OF MODULE 3 EPF: 7A → CGIT (as EPF Appellate Tribunal) → Art 226 · ESI: 45A → EI Court → High Court · EC: Commissioner → High Court on a substantial question of law, s.30 · *three statutes, three arrangements - learn as a set*

THE 2023 ANSWERS SEPARATED minimum employees under this Act = **ONE** (ESI = 10, EPF = 20) · who determines disablement? **Under ESI a Medical Board · under this Act a medical practitioner assesses extent and the Commissioner decides the figure** · time limit = **2 YEARS** · PTD compensation = **60% × wages (cap Rs 8,000) × factor**, min Rs 1,40,000

MUTUAL EXCLUSIVITY ESI-covered worker **cannot** claim under this Act for the same injury · **1923 Act NOT REPEALED**, applies **outside ESI** · the Code 2020 consolidates both as Chapter VII, exclusivity survives

CODE ON SOCIAL SECURITY 2020 carries substance forward: liability, twin phrases, wage cap, percentages, Schedule IV factors, Commissioner - subject to notification · answer any Code question by identifying which of the nine consolidated Acts the question actually turns on

9. Five-Minute Wall Sheet

FIVE-MINUTE WALL SHEET · CHAPTER F3.6 - EC ACT 1923

FIRST Indian social security statute · employer liability · renamed 2010

Threshold ONE — no wage limit — covers contractor's workers (s.12)

s.3(1) TWIN PHRASES: "in the course of" (time-and-place) AND "arising out of" (causal)

s.3(2): course-of proved → arising-out-of **PRESUMED**

NOTIONAL EXTENSION covers gate, canteen, break, work-to-work travel

COMMUTE NOT COVERED unless work provides transport or route

ADDED PERIL: risk greater than the general public in the same place

3 defences: <3 DAYS · INTOXICATION · WILFUL DISOBEDIENCE

DEFENCES 2 AND 3 FALL AWAY FOR DEATH OR PTD · contributory negligence never

Death = 50% × wages × Sch IV factor · **MIN Rs 1,20,000**

PTD = 60% × wages × Sch IV factor · **MIN Rs 1,40,000**

PPD = PTD figure × loss of earning capacity (Sch I fixed / medically assessed)

Temporary = 25% of wages half-monthly, **MAX 5 YEARS**

WAGE CAP Rs 8,000 — applied **BEFORE** the percentage and factor

Sch IV factor by AGE, DECREASES with age

Sch III diseases in 3 PARTS · A no minimum · B period · C substantial (silicosis, asbestosis)

COMMISSIONER · CPC powers · deposit within **1 MONTH (s.4A)**

CLAIM = 2 YEARS from accident, death, or diagnosis

APPEAL = **HIGH COURT** on substantial question of law (s.30)

FORUM SET: EPF → CGIT · ESI → EI Court · EC → High Court s.30

Mutually exclusive with ESI on the same injury · **NOT REPEALED**

Code 2020 consolidates as Chapter VII — exclusivity preserved

2023 answers: min employees **ONE** · time **2 YRS** · PTD via s.4 formula · who decides = **MB** under ESI